

TRAVEL ANXIETY
Passengers check delayed Middle East-bound flights at IGI Airport in Delhi, Mar. 16

PTI

THE IMPACT

- Ticket prices have surged massively, making key routes prohibitively expensive for travellers
- Passengers face panic bookings, cancellations and delayed refunds
- Airlines are hit by soaring fuel costs, war-risk insurance and longer flight paths

ala diaspora—one-way fares reached Rs 62,000. Return fares on long-haul routes such as India-US, usually in the Rs 45,000-Rs 1 lakh range, climbed to Rs 1.3 lakh-2.25 lakh. Bengaluru-Frankfurt return fares rose from about Rs 80,000 to Rs 1.9 lakh.

What's fuelling the surge isn't just supply constraints. War-risk insurance premiums have risen 10-20 times, adding Rs 30-40 lakh per narrowbody and up to Rs 1 crore for widebody return trips. India-Gulf flights often depart nearly empty, with insurance costs recouped from passengers on packed return legs. Jet fuel prices jumped 58.4 per cent in a week from February 28, from $99.40 to $157.41 per barrel; domestic Aviation Turbine Fuel (ATF) has reached Rs 96,638 per kilolitre in Delhi. Every diverted long-haul flight burns four additional tonnes of fuel on average, costing $6,000-7,500 more per additional hour aloft. Fuel accounts for roughly 40 per cent of airline operating costs in India. "The crisis is worse than COVID. If this continues for weeks, airlines may find it impossible to operate," says Kapil Kaul, CEO of aviation consulting CAPA India. "Indian airlines have already lost some $2.5 billion [Rs 23,500 crore] till date. As the war continues and the rupee touches 100 to a dollar, things will get worse."

What is being done

With several airlines facing "unsustainable financial conditions", the government has lifted the fare caps that had been imposed during the December 2025 IndiGo-led disruptions—following lobbying by the Federation of Indian Airlines. At the same time, airlines levy a modest fuel surcharge, though full cost recovery would require steeper fare hikes.

The ministry of external affairs is operating an inter-ministerial mechanism for clearance of additional flights and prioritisation of students, workers and medical-emergency cases. Where direct routes are still blocked, India helped open up transit corridors through Turkey, Armenia, Azerbaijan and Jordan. Regular commercial flights have started operating in a phased mode, too.

What more needs to be done

D.P. Hemanth, CEO of Asia Pacific Flight Training Academy, says there are two levers: rationalisation of state VAT on ATF and nudging oil marketing companies (OMCs) to moderate margins, wherever possible. The government is examining if the OMCs' price revision, due in April, could be staggered over a few months to cushion fares and freight rates from an immediate shock.

Hemanth also flags lease rentals. IndiGo pays upwards of Rs 10,000 crore a year for the leasing of planes; Air India's outgo is running into several thousand crores. And they owe this money even for grounded flights. "The government should present a rescue package. We have an operator-starved, under-serviced aviation market. Any hit to aviation impacts the economy a lot," says Hemanth. ■